

Investments Project #2: Company Analysis & Stock Valuation – The Coca-Cola Company

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Section 1: Company Description and Industry Analysis

Coca Cola is an American company founded in 1892 in Atlanta, Georgia, and is now one of the most famous brands in the world. They produce a large range of non alcoholic drinks like soft drinks, bottled water, fruit juices, teas, coffees, and energy drinks. Coca-Cola remains one of the most famous brands even beyond the iconic Coca Cola, as they own a large portfolio of brands including Sprite, Fanta, Powerade, Dasani, Mr. Pibb, Gold Peak tea, BodyArmor et Costa Coffee.

One of Coca-Cola's strengths is its global distribution system. The company operates through a franchised bottling network that allows them to reach and sell in over 200 countries, generating over 60% of its revenue from international markets. This reach adds to the company's stability but also adds some new business risks, such as fluctuations when exchanging different currencies, instability in the geopolitical world, and being exposed to different regulatory environments. Coca-Cola has diversified its portfolio beyond sugary sodas, and started investing in low-calorie alternatives and water-based beverages, which has allowed it to mitigate some risks associated with new consumer preferences. Still, the company faces challenges stemming from increasing health consciousness among consumers, rising input costs (especially for sugar and aluminum), and tightening regulations such as sugar taxes in various jurisdictions.

While Coca-Cola's business is relatively simple, producing and marketing beverages, its risk factors are nuanced. One notable risk is its reliance on a small number of bottling partners, such as Coca-Cola FEMSA, for global distribution. Additionally, while the brand portfolio is strong, a large portion of revenue is still dependent on carbonated soft drinks, which are facing stagnation in mature markets. Competitive pressure also remains high, especially from two publicly traded companies that are closest in scale and market presence: PepsiCo Inc. and Keurig Dr Pepper. PepsiCo is a diversified player with a significant food business in addition to beverages, while Keurig Dr Pepper has a large portfolio of soft drinks and is strong in the U.S. market, particularly with brands like Dr Pepper and Snapple.

The consumer demand is currently shifting toward healthier, and sustainable drink options, which makes this industry going through slow but steady growth. Carbonated soft drinks are still dominant in terms of volume, but are seeing their market share declining in favor of bottled water, low-calorie beverages, plant-based drinks, and functional drinks such as energy beverages and vitamin waters. Industry analysts forecast modest global growth for this sector in the range of 2-4% annually, with developing economies offering the most promising avenues for expansion. At the same

time, the industry is also facing macroeconomic challenges such as inflationary pressures on raw materials, an increased regulatory scrutiny, and environmental concerns about packaging waste and water use. However, established brands like Coca-Cola remain well-positioned thanks to their strong brand equity, robust cash flows, and investment in innovation and marketing.

Section 2: Company Analysis

When analysing Coca-Cola's financial performance over the past 6 years (2019 to 2024), the company shows slow but steady growth, with revenue increasing each year (except for 2020, due to the pandemic). The company's revenue grew from \$37.3 billion in 2019 to \$48.6 billion in 2024, with a compound annual growth rate of about 5.4%. Net income increased from \$8.92 billion to \$11.95 billion over the same period, with a CAGR of about 6.07%. Coca-Cola's earnings per share also increased, reaching \$2.46 in 2024. Those numbers reflect a strong profitability, a great potential for dividends and can also attract more investors. We can also tell that the company is committed to shareholder returns because they have been constantly increasing dividends each year, starting at \$1.60 in 2019, up to \$1.90 in 2024.

EBITDA, earnings before interest, taxes, depreciation, and amortisation, is a key measure of operating performance, and has increased gradually until 2023, before decreasing in 2024, due to rising commodity and transportation costs, currency fluctuations, and increased marketing and innovation expenditures. It still shows a great margin relative to revenue. Coca-Cola's EBITDA-to-revenue ratio margin has shown a downward trend from 2019 to 2024. While remaining high it reflects challenges in maintaining operational efficiency with rising costs and market pressures. In contrast to this moderate and stable growth, the company's stock price had historically fluctuated within a range between \$36, reached in March 2020, at the beginning of the pandemic, and \$74 per share which was reached recently, in the month of April. As of April 17, 2025, the stock is trading at \$73.00, reflecting growing investor confidence in the company's long-term outlook.

If we compare it to its competitors, Coca-Cola's growth has been a bit slower than PepsiCo, which has benefited by its diversification into snack foods and its international expansion. PepsiCo's also has revenue that has grown at a higher CAGR and is supported by a more balanced portfolio. Keurig Dr Pepper, while being smaller, has achieved a higher growth rate in recent years due to good acquisitions and a strong presence in the U.S. market. Coca-Cola's profitability can be measured by net income divided by revenue and has remained strong at around 23%, and EBITDA/revenue remains healthy as well, even though it has been declining. Liquidity ratios just above 1.0 is a reasonable ratio and shows that it can cover short-term obligations. Coca-Cola carries a significant amount of debt, but its leverage remains manageable thanks to consistent cash flows and a low beta (~0.60). Forecasts from analysts predict modest revenue, and earnings growth in the single digits over the next few years. These projections reflect the maturity of the company in this industry, and the company's efforts to reposition its portfolio toward non-soda alternatives.

I agree with this forecast. Coca-Cola's focus on long-term brand building, product innovation, and sustainability initiatives positions it well for continued growth. The company is not likely to deliver double-digit returns but its stability, global reach, and dividend record make it a reliable company to invest in, especially today, in uncertain markets.

Section 3: Stock Valuation

Using the Dividend Discount Model and the CAPM we can determine the value of Coca-Cola's stock. The current yield on the 10-year U.S. Treasury bond is approximately 4.17%, for the return on the market we are going to use 10.3%, and for Coca-Cola's beta we are going to use its current beta of 0.60. Using these values into the CAPM formula:

$$\text{Required Return} = R_f + \text{beta}(R_m - R_f)$$

$$\text{Required Return} = 4.17\% + 0.60 \times (10.3\% - 4.17\%) = 4.17\% + 3.54\% = 7.85\%$$

If Coca-Cola keep increasing its dividend at a compound rate of 4.0% annually, and using the most recent dividend of \$2.04 per share, the expected dividend next year (D1) would be:

$$D_1 = \$2.04 \times (1 + 0.04) = \$2.12$$

With the Gordon Growth Model:

$$P = D_1 / (r - g) = \$2.12 / (0.0785 - 0.04) = \$2.12 / 0.0385 \approx \$55.11$$

This suggests an intrinsic value of \$55.11 per share, which is lower than Coca-Cola's current market price of \$73. With this model, Coca-Cola is slightly overvalued. The price-to-earnings ratio based on this valuation and an EPS of approximately \$2.46 is about $55.11 / 2.46 = 22.4$, while the current market P/E ratio is 25.17. When using the same valuation method for PepsiCo's and Keurig Dr Pepper, we can see that Coca Cola is the only one to be overvalued. PepsiCo's and Keurig Dr Pepper have a P/E of 40.4 and 28.7 respectively. Coca-Cola has the lowest P/E meaning that the market sees the company as slow-growth, stable income stock.

With the gap between the price given by the Gordon Growth Model and the market price, we could argue that Coca-Cola is priced above its intrinsic value. This could be explained by how volatile the stock market and economic environment is. Investors might prefer defensive stocks such as Coca Cola, which has a great reputation for its long-term performance. While the valuation model suggests a lower price and an overvaluation, I will keep holding and recommend buying Coca-Cola stock for its constant dividends and low volatility. I would be cautious about purchasing it at its current price which is really close to the all-time high, and would instead wait for opportunities to enter at a lower price.

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